UNITED STATES OF AMERICA
BEFORE THE
FEDERAL ENERGY REGULATORY COMMISSION

Interconnection of Large Loads to the Interstate Transmission System	))	Docket No. RM26-4-000

REPLY COMMENTS
OF BUCKEYE POWER, INC.

Pursuant to the Federal Energy Regulatory Commission's (the "Commission") October 27, 2025, Notice Inviting Comments[1] on the proposed advance notice of proposed rulemaking ("ANOPR")[2] released by the Secretary of Energy addressing interconnection of large loads to the interstate transmission system, Buckeye Power, Inc. ("Buckeye") submits these reply comments. Buckeye's comments respond to the initial submissions in this proceeding.

I. INTRODUCTION AND SUMMARY OF BUCKEYE'S REPLY COMMENTS

Large loads, particularly data centers, are driving historic investments in the transmission grid, which have the very real risk of creating significant cost shifts if the large loads do not show up to pay for this investment on a sustained basis.[3] This major concern cannot be addressed solely at the retail level. A wholesale solution is necessary to ensure that the significant impacts to Commission-jurisdictional transmission rates that

[1] Notice Inviting Comments (Oct. 27, 2025), eLibrary No. 20251027-3056. The Commission subsequently extended the reply comment deadline to December 5, 2025. Notice Granting Extension of Time (Nov. 7, 2025), eLibrary No. 20251107-3060.

[2] *Ensuring the Timely and Orderly Interconnection of Large Loads*, Advanced Notice of Proposed Rulemaking (Oct. 27, 2025), eLibrary No. 20251027-4001 ("ANOPR").

[3] While the ANOPR focuses on "large loads," Buckeye recognizes that the challenges to the grid addressed by this ANOPR are almost exclusively caused by data centers. As a result, Buckeye uses references for data centers and large loads interchangeably in these reply comments.

data centers are causing do not result in significant cost shifts to other wholesale transmission customers, like Buckeye.

For these reasons, Buckeye's Initial Comments[4] focus on and support ANOPR Principles 4, 8, and 13 that would ensure that large loads pay for the costs and impact to the grid they cause. In particular:

- Buckeye supports the concept in Principle 8 to hold large loads such as data centers directly responsible for 100% of the costs of network upgrades[5] they are assigned through interconnection studies, which could include a crediting mechanism designed to ensure that wholesale transmission customers are protected.[6] As stated in its Initial Comments, Buckeye supports expanding Principle 8 to also include directly assigning interconnection facilities, metering, and attachment facilities.[7]

- To the extent the Commission does not hold these large loads directly accountable for the costs they cause, it should protect other wholesale transmission customers by holding the relevant wholesale transmission entity (i.e., the entity with a direct, retail relationship with the large load for purpose of distribution and transmission) responsible for network upgrades caused by the large load interconnection. The relevant wholesale transmission entity can then ensure that the large load is ultimately responsible for these costs through retail-level mechanisms. This approach would produce just and reasonable Commission-jurisdictional rates, while avoiding potential jurisdictional issues and preserving the role of retail ratemaking authorities.[8]

- At minimum, the Commission should ensure that any mechanisms adopted in retail tariffs or agreements for large loads to address potential stranded transmission costs (e.g., minimum payments, minimum terms, exit fees, etc.) be reflected in Commission-jurisdictional rates. Absent Commission action, a retail level approach threatens to leave other wholesale transmission customers with no ability to protect themselves (and their retail customers) from massive transmission cost shifting. Since large data center interconnections that are in progress are already causing, or expected to cause, significant transmission

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[4] Comments of Buckeye Power, Inc. (Nov. 21, 2025), eLibrary No. 20251121-5377 ("Buckeye Initial Comments"). Table 1 of Buckeye's Initial Comments includes an example illustrating the stranded cost concerns and their impact on other wholesale customers. *See id.* at 11-13.

[5] *Id.* at 18.

[6] *Id*. at 18-20.

[7] *Id*. at 18.

[8] *Id*. at 22-25.

> investments, the Commission should use the alternatives describe above as a transition mechanism to protect customers from cost shifting.[9]

Regardless of the specific approach the Commission decides to take, it is critical that the Commission adopt a wholesale solution that ensures that other affected wholesale transmission customers—not just retail customers of the wholesale transmission entity that serves the data center—are protected from the significant risk of transmission cost shifting and ensures just, reasonable, and not unduly discriminatory Commission-jurisdictional transmission rates. Buckeye's reply comments continue to focus on this overarching objective:

1. Buckeye agrees with other commenters that the ANOPR's proposal in Principle 8, which ensures large loads are fully responsible for transmission costs they cause, is the best way to prevent cost shifting to other customers and avoid stranded costs. Concerns raised by other commenters about violation of "and" pricing principles, and other issues raised by transmission owners, can be addressed through an appropriate crediting mechanism.

2. If determined to be necessary to address jurisdictional concerns commenters have raised relating to Principle 8, Buckeye's alternative proposal avoids that concern by applying cost responsibility to the relevant wholesale transmission entity with a direct, retail relationship with the large load.

3. Retail-only solutions proposed by certain commenters cannot ensure just and reasonable Commission-jurisdictional transmission rates; a federal, wholesale framework is necessary and can be implemented without impacting the relevant retail authority's role and jurisdiction.

4. Buckeye agrees with other commenters that, at a minimum, the proceeds of any retail-only solutions must be applied against wholesale transmission costs to avoid cost shifting to other wholesale transmission customers. This approach is also an appropriate transition mechanism (Principle 13).

[9] *Id.* at 25-29.

II. REPLY COMMENTS

A. Buckeye supports Data Centers being fully responsible for transmission costs they cause (Principle 8) and opposes concepts that socialize data center transmission costs to other customers and/or fail to protect other customers from stranded costs and cost-shifting.

i. Principle 8 of the ANOPR is the best way to prevent cost shifting to other customers and avoid stranded costs.

Principle 8 of the ANOPR, which would make large loads and hybrid facilities responsible for 100% of the network costs they cause, is superior to rolled-in pricing and other proposals to socialize to all customers transmission costs that are being caused by data centers. The magnitude of the transmission investment data centers are driving requires a focus on risk: who holds the risk of paying for these massive investments if the data center load does not show up and continue to maintain its usage as expected? If the transmission costs caused by data centers are rolled-in to transmission rates, *all* ratepayers carry this risk. Collateral and credit requirements provided by the data centers can help but, ultimately, this security provides other ratepayers only with a mere promise to pay.

Direct assignment of upfront costs is the only approach that ensures other ratepayers are not left holding the bag if a large load does not show up on a sustained basis to pay for the investments it has caused. These costs should be paid upfront by the large loads to eliminate transmission cost shifting risks to other wholesale transmission customers. Buckeye and numerous other commenters support large loads being responsible for paying 100% of the costs they cause upfront as necessary to ensure that other customers are not paying for massive investments they did not cause and are not for their benefit.[10]

As the NRECA recognizes, "there are good reasons, grounded in cost-causation and beneficiary-pays principles," to deviate from Commission's traditional rolled-in transmission pricing practices.[11] Rolled-in approaches would force other customers to bear costs they did not cause and expose them to significant stranded cost risk. That is particularly inappropriate given the unique scale, pace, and cost shift risks associated with large data center interconnections.

Buckeye opposes American Electric Power Service Corporation's ("AEP's") proposal to socialize data center transmission costs to other customers on a nationwide basis.[12] AEP argues that *all consumers* should bear the costs of data center-driven transmission investments by arguing for a national "postage stamp" rate for all extra-high

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[10] Commenters supporting this approach include the Ohio Federal Energy Advocate ("Ohio FEA"), the Pennsylvania Office of Consumer Advocate and Delaware Division of the Public Advocate ("Pennsylvania and Delaware Consumer Advocates"), Transmission Access Policy Study Group ("TAPS"), National Rural Electric Cooperative Association ("NRECA"), Union of Concerned Scientists, and Old Dominion Electric Cooperative ("ODEC"). At least two data centers, Vantage and Microsoft, have also indicated support for direct assignment of network upgrades with a crediting mechanism in their comments. *See* Initial Comments of Microsoft, Inc. at 12 (Nov. 21, 2025), eLibrary No. 20251121-5440 ("Microsoft Comments"); Comments of Vantage Centers at 10-11 (Nov. 21, 2025), eLibrary No. 20251121-5341 ("Vantage Comments").

[11] Comments of the National Rural Electric Cooperative Association at 20 (Nov. 21, 2025), eLibrary No. 20251121-5289. The Ohio FEA supports applying the ANOPR only to data centers. Comments of the Public Utilities Commission of Ohio's Office of the Federal Energy Advocate at 3 (Nov. 21, 2025), eLibrary No. 20251121-5404 ("Ohio FEA Comments") ("[T]he Ohio FEA recommends the Commission . . . focus any proposed rulemaking on data centers rather than all new large loads. Data centers are a unique customer class with exceptional characteristics, and it is not unduly discriminatory to identify them as such and apply regulatory treatment that may differ from that applied to other large loads such as manufacturers."). Industrial Customer Organizations also indicate that due to the unique features of data centers, direct 100% cost assignment of transmission network upgrades (paired with faster interconnection) may be appropriate—but such cost assignment is not appropriate for traditional large loads. Industrial Customer Organizations Comments at 8-9 (Nov. 21, 2025), eLibrary No. 20251121-5227. Buckeye also supports applying Principle 8 only to data centers.

[12] Comments of American Electric Power Service Corporation at 20 (Nov. 21, 2025), eLibrary No. 20251121-5243 ("AEP Comments").

voltage ("EHV") upgrades over 345 kV.[13] While Buckeye does not necessarily oppose the general concept of having more customers outside the AEP Zone that nevertheless rely on the AEP system pay for the cost of maintaining the AEP transmission system where appropriate, AEP's proposal doesn't solve any of the problems of *data center-driven transmission upgrade costs*—it simply spreads the costs to more customers who are *not* the cause of those costs.

ii. Concerns about the Commission's proposal violating "and" pricing can be addressed through an appropriate crediting mechanism.

Some commenters have raised concerns that assigning to the large loads 100% of the new, incremental transmission costs they cause, while at the same time bearing a portion of the costs of the existing transmission system on a load share basis, may violate the Commission's "and" pricing policy.[14] The Commission's "and" pricing policy generally allows a transmission provider to impose transmission service charges that are the higher of the embedded costs of the transmission system with transmission upgrades rolled in, or incremental costs of transmission upgrades—but not both.[15] As discussed below, there are good reasons to depart from these generalized pricing principles in the context of the unique characteristics and enormous risks posed by data centers. But if the Commission considers "and" pricing to be a matter of concern in the context of the large

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[13] *Id.*

[14] *See* Comments of Exelon Corporation at 7 (Nov. 21, 2025), eLibrary No. 20251121-5347 ("Exelon Comments"); Comments of the Edison Electric Institute at 10 n.17 (Nov. 21, 2025), eLibrary No. 20251121-5301 ("EEI Comments").

[15] *See Inquiry Concerning the Commission's Pricing Policy for Transmission Services Provided by Public Utilities Under the Federal Power Act*, Policy Statement, 59 Fed. Reg. 55031 (Nov. 3, 1994); *Pa. Elec. Co. v. FERC*, 11 F.3d 207 (D.C. Cir. 1993) (upholding Commission transmission pricing policy); *Ne. Utils. Serv. Co. v. FERC*, 993 F.2d 937, 954–55 (1st Cir. 1993) (upholding Commission transmission pricing policy).

load interconnection reforms, this concern can be addressed through an appropriate crediting mechanism, in which the incremental cost of transmission upgrades is included in transmission rates only as it is credited back to the large load that funded the upgrade. In short, "and" pricing concerns should not deter the Commission from requiring upfront funding by data centers of the transmission additions they cause.

Several commenters support large loads paying for 100% of the transmission costs they cause *without* a crediting mechanism, recognizing that data centers present unique challenges that may require a unique solution that deviates from standard Commission policies.[16] ODEC, for example, points out that the unprecedented nature of the network upgrades required to serve new large loads may support the Commission revisiting "[t]he core rationale of the crediting mechanism" originally contemplated under Order No. 2003 as "any system reliability benefits are far outweighed by the direct benefit to the interconnecting [large load] customer."[17] Buckeye agrees that the extreme cost shifting risks posed by data centers that fail to attain and maintain their planned-for

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[16] *See* Comments of Old Dominion Electric Cooperative at 9 (Nov. 21, 2025), eLibrary No. 2025-1121-5343 ("ODEC Comments"); Comments of the Pennsylvania Office of Consumer Advocate and Delaware Division of the Public Advocate at 25 (Nov. 21, 2025), eLibrary No. 20251121-5242 ("PA/DE Advocates Comments"); Comments of the People of the State of Illinois by the Office of the Illinois Attorney General at 12 (Nov. 21, 2025), eLibrary No. 20251121-5382; Comments of Southern Maryland Electric Cooperative at 4-6 (Nov. 21, 2025), eLibrary No. 20251121-5395; Ohio FEA Comments at 5 ("[T]he Ohio FEA agrees that large load and hybrid facilities (new load and generation in proximity) should be responsible for 100% of the network upgrades resulting from their interconnection studies. Newly interconnecting large loads must be allocated a fair and equitable share of the costs related to the transmission system that they will utilize and benefit from, both new and existing, as well as the grid ancillary systems upon which they will rely."). *See also* Initial Comments of NRG Energy, Inc. at 15-16 (Nov. 19, 2025) eLibrary No. 20251119-5170 ("NRG Comments"), which detail an "open season" proposal that would create an efficient mechanism for allocating transmission capacity to new large loads while also achieving "a direct cost allocation of both interconnection and network upgrade costs, preventing cost shifts to other customers." *Id.* at 26.

[17] ODEC Comments at 9; PA/DE Advocates Comments at 25 ("The Joint Consumer Advocates agree that load and hybrid facilities should be responsible for 100% of the network upgrades assigned to them through the interconnection studies and that these costs should <u>not</u> be offset through a crediting mechanism. Such a mechanism risks other ratepayers paying for the network upgrades that are the responsibility of the load and hybrid facilities." (emphasis in original)).

usage level and the exceptional nature of these loads can support these loads paying upfront for 100% of their transmission interconnection costs without a crediting mechanism, so that data centers pay both their incremental costs and embedded costs through standard transmission rates.

Although upfront payment without crediting is justified in the context of large data center interconnections, the Commission can address "and" pricing concerns by requiring upfront payment of 100% of the data center driven upgrade costs *with* a crediting mechanism structured to prevent burdening other transmission customers, even when combined with charging the large data center (or the wholesale transmission entity that serves them) for the data center's share of the embedded grid costs. Crediting would provide the large data center with the opportunity to receive full credits for its upfront payments to the extent that it has sufficient usage over a sustained period of time, thereby protecting other wholesale customers from bearing stranded costs.

Numerous commenters, including data centers and the Edison Electric Institute ("EEI"), have stated that upfront payment with an appropriate crediting mechanism is a viable approach.[18] TAPS agrees with this approach in its comments, noting that a crediting mechanism cannot be a copy of the existing crediting mechanism created under

[18] EEI Comments at 12. EEI presented an example crediting mechanism in which "large loads could initially fund the cost of network upgrades and/or interconnection facilities and the transmission owner/provider could return the funds upon energization of the network upgrades over a period not to exceed 20 years, with the transmission plant includable in rate base of the transmission owner/provider, as credits paid." EEI Comments at 12. As EEI correctly recognizes, the funding models for *generator* interconnections are inapposite to large load interconnections, and "different considerations and precedent must be considered" for developing an appropriate crediting mechanism for large load interconnections. *Id.* at 8-9. Buckeye supports this type of crediting mechanism, provided the credits are appropriately structured to avoid cost shifting risks (e.g., based on transmission usage by the data center, with no automatic balloon payment). Vantage also raised concerns with 100% cost assignment upfront but indicated an appropriate crediting mechanism would avoid these concerns. Vantage Comments at 10-11. Microsoft also supported the concept of 100% upfront payment with crediting. Microsoft Comments at 12.

Order No. 2003 for large generator interconnections, but needs to be tailored to address stranded cost risks these large loads cause.[19] Specifically, any transmission crediting mechanism should be structured to credit data centers for their upfront costs as an offset to their transmission charges for that data center load. Structuring the crediting mechanism in this manner (i.e., avoiding balloon payments at a specific time, regardless of usage) would ensure other customers do not bear those costs if the data center load fails to materialize as expected. Under this mechanism, the payments credited, which include interest, to the data centers would be rolled into the transmission owner's rate base, enabling transmission owners to earn a rate of return while still protecting other customers from cost-shifting risks.

iii. An appropriate crediting mechanism addresses other concerns raised by Transmission Owners associated with Principle 8.

The PJM Transmission Owners raise other concerns with large loads paying 100% of their transmission costs upfront, arguing in favor of rolled-in rate treatment so that transmission owners are appropriately compensated.[20] These concerns are also addressed by an appropriate crediting mechanism. The crediting mechanism will result in the incremental transmission investment caused by the data centers being rolled into rate base over time, thereby providing the transmission owner an opportunity to receive a rate of return on this investment and compensation for their risks associated with operating the transmission grid. This process also alleviates the concern raised by Exelon

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[19] Comments of Transmission Access Policy Study Group at 23-24 (Nov. 21, 2025), eLibrary No. 20251121-5346. *See also* Comments of the American Public Power Association at 6-7 (Nov. 21, 2025), eLibrary No. 20251121-5127.

[20] Comments of the Indicated PJM Transmission Owners at 21-29 (Nov. 21, 2025), eLibrary No. 20251121-5458 ("PJM TO Comments").

Corporation ("Exelon") and the PJM Transmission Owners that data centers would not make long-term contributions to the transmission system through rolled-in rates, which assumes a scenario where the data center is only paying for the incremental costs of its investments and not the embedded cost (applying a "higher of" pricing policy).[21]

Payment upfront for 100% of transmission upgrade costs caused by data centers, with a crediting mechanism designed as described above, would eliminate cost shifting risks, ensure data centers contribute to embedded costs (avoiding a "balkanized" network),[22] while also providing transmission owners a rate of return on the transmission investment and avoiding the Commission's prohibition of "and" pricing.

iv. Principle 8 alleviates the need for rigorous security requirements and eliminates default risk.

Finally, an upfront payment of 100% of transmission costs with a properly structured crediting mechanism avoids concerns with other proposals that require clawbacks of costs from the data centers if the expected demand does not materialize. Rolled-in pricing does not address these significant concerns.

For example, several utilities have implemented agreements with data centers that require a minimum contract term with minimum demand requirements and exit fees that apply should the data center terminate early and fail to cover the transmission costs it has caused.[23] These approaches typically require the data center to provide security or credit

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[21] *Id*. at 20-21; Exelon Comments at 8-11.

[22] PJM TO Comments at 21.

[23] *See* AEP Ohio's data center retail tariff approved by the Public Utilities Commission of Ohio ("PUCO") in *In re Application of Ohio Power Co. for New Tariffs Related to Data Ctrs. & Mobile Data Ctrs.*, Docket No. 24-508-EL-ATA (Pub. Utils. Comm'n of Ohio July 9, 2025), https://dis.puc.state.oh.us/ViewImage.aspx?CMID=A1001001A25G09B43531I00509; PECO, Transmission Security Agreement between PECO Energy Company and Amazon Data Services, Inc., *PECO Energy Co*., Docket No. ER25-3492 (Sep. 23, 2025), eLibrary No. 20250923-5131; AES Ohio,

assurances to support its obligations. However, even with credit support, consumers still bear the inherent risk that the data center may default and be unable to cover the stranded transmission costs it has created. Principle 8 avoids this risk by having the data center cover the costs in advance and alleviates the need for stringent credit requirements to back up these agreements.

B. Buckeye's alternative proposal (holding relevant wholesale transmission entities responsible at wholesale level, rather than the data center) can address jurisdictional concerns raised in some comments.

The ANOPR's proposed solution for upfront, direct assignment of 100% new incremental network costs to large loads, together with large loads also paying their fair share of the cost of the existing transmission system, is the ideal mechanism to address transmission cost shifting concerns. However, some commenters have raised concerns that the ANOPR impacts state authority over retail rates and seek a consensus approach to avoid lengthy litigation over jurisdictional issues.[24]

Buckeye's initial comments propose, as an alternative to direct assignment of costs to large loads, a federal framework that addresses these jurisdictional concerns, which would work hand in hand with retail solutions.[25] Under this approach, the relevant wholesale transmission entity[26] (not the data center end-user itself) would be held

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Transmission Customer New or Upgraded Service Construction Service Agreement, *Dayton Power & Light Co.*, Docket No. ER25-192 (Oct. 23, 2024), eLibrary No. 20241023-5154.

[24] Initial Comments of the Organization of PJM States, Inc. at 2-3 (Nov. 21, 2025), eLibrary No. 20251121-5284; Initial Comments of the National Association of Regulatory Utility Commissioners at 6 (Nov. 21, 2025), eLibrary No. 20251121-5132 ("NARUC Comments"); Comments of the Large Public Power Council at 3-6 (Nov. 21, 2025), eLibrary No. 20251121-5462; Duke Comments at 7-9.

[25] *See* Buckeye Initial Comments at 22-25.

[26] As discussed above, the relevant wholesale transmission entity is the entity with a direct, retail relationship with the large load for purpose of distribution and transmission.

responsible for data center-caused costs at the wholesale level, and that entity could then pass through these costs to the data centers as they and retail regulators see fit at the retail level. To implement this approach, the Commission can make the wholesale transmission entity with the direct relationship with the large load either (i) pay upfront for transmission costs caused by data centers in their territory in accordance with ANOPR Principle 8, and/or (ii) be responsible for data center's forecasted load even if the data center's actual usage is less than expected or goes away entirely, i.e., a demand ratchet.[27]

This approach avoids jurisdictional concerns since the Commission will not be imposing a requirement directly on retail data center customers. Importantly, this wholesale framework does not limit a state's ability to implement protective measures through retail rates, addressing concerns such as those raised by the Pennsylvania Public Utilities Commission.[28] Rather, this approach allows regulators with jurisdiction over retail rates the flexibility to craft retail terms of service to the large load customer, while enabling this Commission to provide a consistent wholesale framework that ensures just and reasonable Commission-jurisdictional rates.

Other commenters have also recognized the benefits of a wholesale framework that applies to the relevant wholesale transmission entity that has the direct relationship with the large retail load. The Pennsylvania and Delaware Consumer Advocates state that the Commission "does not need to bypass the interconnecting EDC/utility" to implement

[27] *See* Buckeye Initial Comments at 23 ("For instance, costs in the AEP Zone of PJM are currently allocated based on 1 CP, but that allocation methodology could be adjusted so that the relevant wholesale transmission entity is responsible (all or at a just and reasonable percentage) for the forecast load of its large load customer even if that large load fails to contribute to the 1 CP value.").

[28] Comments of the Pennsylvania Public Utilities Commission at 6 (Nov. 21, 2025), eLibrary No. 20251121-5262 ("The proposals in the ANOPR could limit a state's ability to implement protective measures, such as large load tariffs and flexibility requirements." (citation omitted)).

a solution that protects all consumers, noting that the Commission "merely needs to layer in the RTO's authority."[29] EEI recognizes that a solution that applies directly to the transmission customer (the wholesale transmission entity with the direct relationship with the retail large load) and not the retail customer avoids the "jurisdictional morass," citing the SPP's High Impact Large Load ("HILL") approach which "involve[s] the retail customer with HILL working hand-in-hand with their load serving entity (i.e., the Transmission Customer) so that the new service can be provided."[30]

This wholesale framework also addresses concerns raised by data centers that inconsistent approaches cause uncertainty and risk.[31] While some transmission owners have argued against a "one-size-fits-all" approach, a federal framework avoids the need for Commission review and approval of multiple approaches based on individual Section 205 filings. Given the importance of this issue and the significant risk of substantial stranded transmission costs and cost shifting, a clear and consistent Commission-led framework is needed.

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[29] PA/DE Advocates Comments at 8.

[30] EEI Comments at 33-34. *See also id.* at 34 ("Thus, the entire program would involve the retail customer with HILL working hand-in-hand with their load serving entity (i.e., the Transmission Customer) so that the new service can be provided.").

[31] *See* Comments of the Data Center Coalition at 3-4 (Nov. 21, 2025), eLibrary No. 20251121-5521 (noting that "processes differ substantially across utilities and states" and "[t]hese conditions create uncertainty, delay investment, and complicate grid planning at a time when the nation can least afford inefficiency"). By avoiding jurisdictional issues and challenges, this could also avoid delay concerns that could be associated with litigating and resolving jurisdictional issues. *See* PJM TO Comments at 32.

C. Retail-only solutions cannot ensure just and reasonable Commission-jurisdictional transmission rates without Commission action to ensure that retail-level solutions are reflected in Commission-jurisdictional rates.

Various initial comments in this proceeding identified actions being taken at the retail level to address some of the concerns raised by large data center loads, such as large data center retail tariffs or contracts with large data centers.[32] These actions do *not* remove the need for Commission action. On their own, retail-level solutions fail to protect other wholesale customers from bearing data center-driven transmission upgrade costs. Therefore, if the Commission does not adopt a wholesale framework consistent with Principle 8 (as described above in Parts II.A and II.B), it must at minimum ensure that retail-level protections against stranded data center transmission costs are reflected at the wholesale level to ensure just, reasonable, and not unduly discriminatory Commission-jurisdictional rates.

i. Retail-only solutions are insufficient.

Buckeye opposes retail-only solutions that fail to address transmission cost shifting to other wholesale customers. Several commenters have argued that states alone can and should address these concerns. But absent additional action at the wholesale level, retail-only approaches do not prevent transmission cost shifting to other wholesale customers.

For example, the National Association of Regulatory Utility Commissioners ("NARUC") argues that "[t]he venue for a retail end-use customer who is directly affected by the services provided by the electric supplier is a state commission. These

[32] *See, e.g.,* Duke Comments at 5-7; AEP Comments at 6.

end-use customers can seek recourse from state regulators' decisions by directly participating in state proceedings and through the process of electing or influencing the appointment of state regulators."[33] But this ignores that retail end-use customers are *not* the only customers directly affected by data center-driven transmission upgrade costs. As Buckeye points out in its Initial Comments,[34] the AEP Ohio retail tariff approved by the Public Utilities Commission of Ohio ("PUCO") is a perfect example of a retail-only solution that (absent action from this Commission) threatens to leave other wholesale transmission customers and their retail customers holding the bag on significant stranded costs. In that case, the retail regulator, the PUCO, explicitly disclaimed an ability to address these wholesale customer protection concerns. Because interconnection of data centers directly affects *Commission-jurisdictional transmission rates*, action by *this Commission* is required to protect wholesale transmission customers paying these rates.

Several other commenters have pointed out the shortcomings of retail-only solutions that fail to address cost shifting to other wholesale transmission customers.[35] Pennsylvania and Delaware Consumer Advocates recognize that retail-only solutions are not sufficient, and support ensuring any retail protections, such as minimum demand charges, are credited towards the network rates of other transmission customers.[36]

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[33] NARUC Comments at 6.

[34] Buckeye Initial Comments at 14.

[35] PA/DE Consumer Advocates Comments at 31-35.

[36] *Id.* at 31-32. Specifically, Pennsylvania and Delaware Consumer Advocates note:

> [T]he Joint Consumer Advocates strongly support this ANOPR and subsequent processes to address the realistic possibility of significant stranded transmission assets in unbundled/restructured states resulting from large loads and hybrid facilities' interconnection to transmission systems where the facility owner does not take service for sufficient time to pay back the costs it caused the utility to incur. In such a case, these costs may have to be paid for by other ratepayers who did not contribute to the utility incurring the cost. The Joint Consumer Advocates are concerned with any potential gaps in setting

ii. At a minimum, retail-level solutions must be applied against wholesale transmission costs.

If the Commission opts not to implement a consistent federal framework consistent with ANOPR Principle 8 (as described in either Parts II.A or II.B above), at a minimum the proceeds of any retail only solutions must be applied against wholesale transmission costs to avoid cost shifting to other wholesale transmission customers. Pennsylvania and Delaware Consumer Advocates note that minimum demand ratchets and other retail solutions must be credited towards the network rates of other transmission customers: "Doing so provides immediate benefits to the interconnection of a large load customer while providing relief against the transmission costs incurred by the interconnection of that customer."[37]

EEI has also suggested that the Commission could "issue a Final Rule under which FERC-jurisdictional transmission owners and providers could demonstrate that their FERC-jurisdictional tariffs governing transmission planning are addressing large load issues in a satisfactory manner, in concert with state processes, or that large load requests are not presenting issues in their state."[38]

Applying retail-level solutions to wholesale transmission rates, however, is an inferior approach to a clear and consistent federal framework (as described in Parts II.A and II.B above). First, it would result in inconsistent treatment at the wholesale level, as the impact on Commission-jurisdictional rates will depend on particular large data center

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the transmission provider's revenue requirement that would materially affect transmission rates paid by all customers.

[37] *Id.* at 34.

[38] EEI Comments at 34. "If the Commission found such compliance filings adequate, it could take no further action as to those entities. The Commission could also meaningfully move the needle through the issuance of a policy statement to the same effect." *Id.*

retail tariff or contract provisions adopted at the retail level. Although commenters such as Exelon argue that a Commission-driven rulemaking could lead to compliance disputes,[39] relying on various different retail-level solutions to be individually reflected in wholesale rates would be a much more onerous and time-consuming process.

Second, there are serious concerns with the Commission relying on solutions developed at the retail level to address transmission cost-shifting concerns without substantive review, particularly agreements negotiated between a utility and a data center. The Commission cannot assume that agreements negotiated between one utility and a data center will be sufficiently protective of other customers. Commissioner Chang recognized these critical concerns in her concurrence in the Commission's decision to accept the PECO Transmission Security Agreement filing.[40] As Commissioner Chang explained, one-off agreements that are accorded the *Mobile-Sierra* standard do not provide sufficient review or consideration to ensure other consumers are receiving just and reasonable solutions to this concern.[41] The parties' private "mutual agreement should not be presumed to represent a deal in the best interests of customers."[42]

To the extent the Commission relies on individual agreements between a utility and a data center, it should not review them under the *Mobile-Sierra* standard. Given the potential significant impacts to wholesale customers who are not parties to those

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[39] Exelon Comments at 16.

[40] *PECO Energy Co*., Order Accepting Transmission Security Agreement, 193 FERC ¶ 61,148 (2025) (Chang, Comm'r, concurring).

[41] *Id*. P 6.

[42] *Id.* P 3 n.2. Commissioner Chang noted concerns, for example, that the PECO Transmission Security Agreement "is a contractual revenue guarantee that is not tethered to the potential cost of network upgrades or regional upgrades, and as a result, the Agreement does not necessarily reflect the Commission's 'higher of' policy." *Id.* P 5.

agreements, that standard is not appropriate. Even under the *Mobile-Sierra* standard, the Commission must fulfill its statutory duty to protect the public interest and ensure such agreements effectively protect other wholesale transmission customers from transmission cost shifting.[43]

However, this then raises the issue of the significant investment of Commission time and resources to conduct a thorough review of each such filing. A consistent federal approach through rulemaking, as the ANOPR proposes, is better. Commissioner Chang recognized as much in her concurrence stating that it may be time for the Commission to proactively adopt a federal framework that guarantees sufficient customer protections "to ensure that [the Commission does] not outsource [its] customer protection responsibility to bilateral agreements by the utilities [it] regulates."[44] But, if the Commission were to continue to rely on individual data center agreements as a solution to transmission cost shifting, the Commission should ensure the final rule requires these agreements to at least follow certain guidelines to protect other wholesale transmission customers from transmission cost shifting[45] and to preserve Commission resources from having to review a potentially unlimited number of one-off proposals.

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[43] As the Supreme Court has explained, under the *Mobile-Sierra* standard the Commission reviews a contract "for whether it violates the public interest," but the *Mobile-Sierra* standard is not different than the statutory just-and-reasonable standard; "[r]ather, the term 'public interest standard' refers to the differing *application* of that just-and-reasonable standard to contract rates." *Morgan Stanley Cap. Grp. Inc. v. Pub. Util. Dist. No. 1 of Snohomish Cnty.*, 554 U.S. 527, 534-35 (2008) (citation omitted).

[44] 193 FERC ¶ 61,148, P6 (Chang, Comm'r, concurring).

[45] The AES Corporation ("AES") agrees with this approach in its Comments, stating "AES recognizes that other utilities have taken different approaches from the AES Utilities, and that questions remain as to how certain customer protections (i.e., termination or load shortfall payments made by the large load customer) would be accounted for and reflected in transmission rates. Accordingly, AES believes that the Commission could provide certainty to the market by issuing guidance, whether in the form of a policy statement or otherwise, regarding how termination fees from construction service agreements associated with transmission network upgrades should be accounted for in transmission rates." Comments of the AES Corporation at 11 (Nov. 21, 2025), eLibrary No. 20251121-5533 (citation omitted).

D. The Commission should require retail-level solutions to be reflected in Commission-jurisdictional rates for any data center interconnections currently being studied for interconnection.

ANOPR Principle 13 recognizes that data centers are already impacting Commission-jurisdictional rates. The Commission need not, and should not, wait until a final rule adopted in this proceeding is in effect to protect other wholesale customers. The approach of reflecting retail-level solutions in Commission-jurisdictional rates (Part II.C.ii above) should be applied to any large data centers already being studied for interconnection.

As explained in Buckeye's Initial Comments, some utilities have already filed their agreements with data center end-use customers with the Commission, and they have committed to the Commission to apply any minimum charges and exit fees obtained under these agreements to offset stranded transmission investments in its wholesale revenue requirements.[46] The Commission should mandate this alternative approach to all large load interconnections already being studied to ensure just and reasonable transmission rates.

[46] Buckeye Initial Comments at 26 (discussing AES and PECO examples).

III. CONCLUSION

Buckeye requests that the Commission give full consideration to both Buckeye's Initial Comments and these reply comments in connection with its advance notice of proposed rulemaking addressing large load interconnections.

Respectfully submitted,

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